



INSTRUCTIONAL AREA

Financial Analysis

BUSINESS FINANCE SERIES EVENT

PARTICIPANT INSTRUCTIONS

(quoted directly from DECA, INC)

- "The event will be presented to you through your reading of the 21st Century Skills, Performance Indicators and Case Study Situation. You will have up to 10 minutes to review this information and prepare your presentation. You may make notes to use during your presentation."
- "You will have up to 10 minutes to make your presentation to the judge (you may have more than one judge)."
- "You will be evaluated on how well you meet the performance indicators of this event."
- "Turn in all of your notes and event materials when you have completed the event."

21st CENTURY SKILLS

- Critical Thinking – Reason effectively and use systems thinking.
- Communication – Communicate clearly.
- Creativity and Innovation – Show evidence of creativity.

PERFORMANCE INDICATORS

1. Describe the nature of cash flow statements.
2. Set financial goals.
3. Describe the nature of budgets.
4. Discuss the analysis of a company's financial situation using its financial statements.
5. Make responsible financial decisions.

EVENT SITUATION

You are the financial consultant hired by SPARKTECH, a startup that designs and sells smart home devices. The company has been growing rapidly, but the CEO (judge) is concerned that cash flow shortages might arise due to high upfront costs for manufacturing and delayed payments from major retailers.

The following data has been provided for the next 12 months:

- Beginning cash balance: \$200,000
- Monthly operating expenses: \$60,000
- Monthly sales revenue: \$50,000 (but paid 2 months after the month of sale)
- One-time upfront costs (first month): \$120,000 for manufacturing equipment
- Planned loan disbursement in month 4: \$100,000
- Expected sales growth: 10% per month starting in month 3

Your task is to:

- Analyze the cash flow for the next 12 months, identifying any potential shortfalls / deficits.
- Suggest strategies to manage cash flow during the months when the company might face a cash crunch.
- Recommend other financial adjustments to help the company maintain positive cash flow throughout the year.

You will present your plan to the CEO (judge) in a meeting at SPARKTECH. The CEO (judge) will begin the role-play by greeting you and asking to hear your ideas. After your presentation, you will answer the CEO's (judge's) questions, and they will conclude the role-play by thanking you for your work.

Possible Judge's Questions:

1. Based on your analysis, in which months did you identify potential cash flow shortfalls, and how significant were they?
2. mentioned strategies to manage cash flow during months with deficits. Could you elaborate on the most effective strategy you would recommend and why?

Did the participant:		Novice	Developing	Proficient	Exemplary	Judged Score
PERFORMANCE INDICATORS						
1.	Describe the nature of cash flow statements?	0-1-2-3	4-5-6-7	8-9	10	
2.	Set financial goals?	0-1-2-3	4-5-6-7	8-9	10	
3.	Describe the nature of budgets?	0-1-2-3	4-5-6-7	8-9	10	
4.	Discuss the analysis of a company's financial situation using its financial statements?	0-1-2-3	4-5-6-7	8-9	10	
5.	Make responsible financial decisions?	0-1-2-3	4-5-6-7	8-9	10	
SOLUTION						
6.	Unique– Demonstrates original thinking, fresh perspectives, and an insightful approach.	0-1-2	3-4-5	6-7	8	
7.	Practical– Actionable/viable in a real-world context.	0-1-2	3-4-5	6-7	8	
8.	Effective– Achieves relevant outcomes.	0-1-2	3-4-5	6-7	8	
CAREER COMPETENCIES						
9.	Critical Thinking– Thinks critically to understand and solve problems.	0-1	2-3	4-5	6	
10.	Communication– Communicates clearly, effectively, and with reason.	0-1	2-3	4-5	6	
11.	Decision-making– Considers the impacts of decisions.	0-1	2-3	4-5	6	
OVERALL IMPRESSION						
12.	Overall impression– The degree to which the presentation leaves a lasting impression.	0-1-2	3-4-5	6-7	8	
TOTAL SCORE						

Cash Flow Calculation for the First 6 Months:

Month 1:

- Beginning cash: \$200,000
- Expenses: \$60,000 (operating) + \$120,000 (upfront cost) = \$180,000
- Ending cash: $\$200,000 - \$180,000 = \$20,000$

Month 2:

- Beginning cash: \$20,000
- Expenses: \$60,000
- No revenue received (revenue from Month 1 sales arrives in Month 3)
- Ending cash: $\$20,000 - \$60,000 = -\$40,000$ (cash deficit)

Month 3:

- Beginning cash: $-\$40,000$
- Expenses: \$60,000
- Revenue from Month 1 sales (\$50,000) arrives
- Ending cash: $-\$40,000 + \$50,000 - \$60,000 = -\$50,000$ (cash deficit)

Month 4:

- Beginning cash: $-\$50,000$
- Expenses: \$60,000
- Revenue from Month 2 sales (\$50,000) arrives
- Loan disbursement of \$100,000
- Ending cash: $-\$50,000 + \$50,000 - \$60,000 + \$100,000 = \$40,000$

Potential Cash Shortfalls:

The company faces a cash deficit in Months 2 and 3 due to operating expenses exceeding available cash before revenue is received. The cash shortage peaks at $-\$50,000$ in Month 3.

Recommended Cash Flow Management Strategies:

- Delay certain expenses: Push non-essential payments to months when more cash is available.
- Negotiate faster payment terms with retailers: Request that major retailers pay within 30 days instead of 60 days, which would accelerate cash inflows.
- Consider short-term financing: To cover the deficit in Month 2 and 3, the company could apply for a short-term line of credit.
- Monitor sales growth closely: Since sales are expected to grow 10% per month, managing cash carefully in the early months is critical to avoid liquidity issues later.